

Tutorial 3

Order Mechanics: Limit Orders, Stops, Stop-Limits, and Staggered Orders

Practice the clicks before real money is involved.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, and chart study. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

1. Read the objective and key terms first.
2. Study the chart logic slowly before trying to trade it.
3. Complete the practice drill using paper trading or chart replay.
4. Answer the homework questions at the end in writing.

Learning Objective

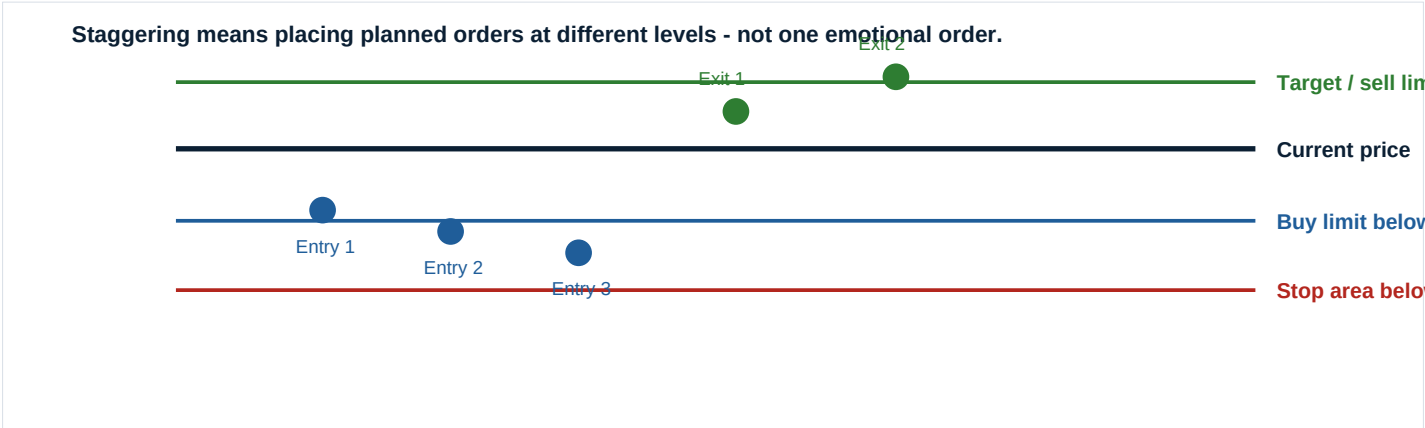
By the end of this tutorial, the student should know the difference between market, limit, stop, and stop-limit orders; be able to place buy limits below current price and sell limits above current price; understand why orders may not execute; and practice staggering entries and exits with paper trading.

One-sentence lesson

The fastest way to lose money is not always a bad idea; sometimes it is a correct idea executed with the wrong order type or the wrong click.

Key Terms

Term	Student Definition	Use in the Lesson
Market order	An order intended for immediate execution. It does not guarantee the execution price.	Use cautiously because fast markets can create poor fills.
Limit order	An order to buy or sell at a specific price or better.	Buy limits go below current price; sell limits go above current price.
Stop order	An order that becomes a market order once the stop price is reached.	Useful for exits, but can slip in fast markets.
Stop-limit order	A stop order with a limit price attached.	Gives price control but may fail to execute.
Staggered orders	Multiple planned entries or exits at different levels.	Reduces all-or-nothing decision-making during a scalp.



Why This Tutorial Matters

During the coaching session, Val emphasized that the mechanics of clicking correctly are as important as the chart idea. That is the correct attitude. A trader should not risk real capital until order placement is automatic.

This tutorial is about execution safety: knowing what each order does, where it belongs on the ladder, and what can go wrong after it is sent.

Order Type Quick Reference

Order Type	What It Does	Main Risk	
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Order Type	What It Does	Main Risk	
Market order	Attempts immediate execution.	Execution price can be worse than expected.	
Buy limit	Buys only at the limit price or lower.	May not execute if price does not come down.	
Sell limit	Sells only at the limit price or higher.	May not execute if price does not rise.	
Stop order	Triggers at stop price and becomes a market order.	Can fill below/above expected price in fast movement.	
Stop-limit	Triggers at stop price but only fills at limit or better.	May not fill at all, leaving risk open.	

The basic limit-order rule

Buy limits are normally placed below current price when you want a pullback entry. Sell limits are normally placed above current price when you want a profit-taking exit. Reverse the logic only if you fully understand the strategy and order ticket.

Staggering Entries and Exits

Staggering means spreading orders across multiple planned levels. Instead of buying the full position at one price, the student may place smaller buy limits at several pullback levels. Instead of selling everything at one target, the student may take partial profits at multiple levels.

The purpose is not to guess more levels. The purpose is to reduce emotional all-or-nothing execution. Every staggered order still needs a thesis, invalidation, and stop plan.

The 20-Order Paper Drill

1. Place 5 buy-limit orders below current price. Cancel them after confirming the location.
2. Place 5 sell-limit orders above current price. Cancel them after confirming the location.
3. Place 5 protective stop orders below a marked support/invalidation level.
4. Modify 5 existing orders by dragging or editing the price, then confirm the change.
5. For every order, say out loud: entry or exit, buy or sell, active or inactive, and what can go wrong.

Pre-Trade Click Safety Checklist

Action	Done
Ticker is correct.	
Account type is correct: paper account for practice.	
Buy/sell direction is correct.	
Order type is correct: market, limit, stop, or stop-limit.	
Quantity is correct.	
Price is correct and visible on the chart.	
Stop plan is defined before entry.	
Order was intentionally submitted, modified, or canceled.	

Mistakes to Avoid

- Using a market order because you feel rushed.
- Placing a buy limit above current price when you meant to wait for a pullback.
- Placing a sell limit below current price when you meant to take profit higher.
- Forgetting that a stop order can become a market order and slip.
- Confusing an unsubmitted order preview with an active order.

Research References

Use these references to deepen the lesson. They are educational sources; they do not replace a written trading plan or broker-specific rules.

1. SEC Investor.gov - Types of Orders. Defines market orders, limit orders, and stop orders, including execution-price risks.

<https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders>

2. SEC Investor.gov - Stop, Stop-Limit, and Trailing Stop Orders. Explains the difference between stop orders, stop-limit orders, and trailing stops, including execution risk.

<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-15>

3. SEC Investor.gov - Understanding Order Types. Notes that some order types vary by brokerage and that stop-limit orders may not execute in fast markets.

<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-14>

Homework - Complete Before the Next Session

Complete the homework in a paper account or simulator only. The assignment is about execution confidence, not profit.

Question / Prompt	Student Answer
In your own words, what is the difference between a market order and a limit order?	
Where should a buy limit be placed if you want to buy a pullback?	
Where should a sell limit be placed if you want to take profit?	
What happens to a stop order after the stop price is reached?	
Why might a stop-limit order fail to protect you in a fast market?	
What does it mean to stagger an order?	
Write a three-order staggered entry plan for a paper trade.	
Write a two-order partial-exit plan for the same paper trade.	
Describe one clicking mistake you must prevent before trading real money.	

Submission Checklist

Item to Submit	Done
Screenshot of 5 buy-limit order placements below current price.	
Screenshot of 5 sell-limit order placements above current price.	
Screenshot of at least 3 canceled or modified orders.	
A written note explaining one order that did not execute and why.	